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STATE OF COLORADO

DIVISION OF MINERALS AND GEOLOGY

Department of Natural Resources

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October 28, 2002

Mr. Steve Mossberg
CEMEX
P.O. Box 529
Lyons, CO 80540

RE: CEMEX, Inc., Lyons Mine, Permit No. M-1977-208
Nonconforming Use Status

Dear Mr. Mossberg,

The Division of Minerals & Geology received your letter on October 16, 2002 regarding the nonconforming use status of the cement kiln plant located at the Lyons Mine, Permit No. M-1977-208. This information was submitted as a result of the Division's inspection of September 5, 2002 requesting this information in order to determine if a reclamation cost estimate needs to be included for the cement kiln facility.

As noted in the Division's September 5, 2002 inspection report,

"Because the CKD is regulated as a waste generated by the mining operation under the DMG Permit, it would require that a bond be posted as part of the facilities which would need to be demolished and decommissioned following the closure of plant operations. The 1999 inspection reports states that at that time, the company believes that this area of Boulder County is grandfathered as non-conforming use and that the complex and kiln are allowed to remain in place after closure as part of its industrial/commercial final end land use. DMG stated that it would like either written confirmation that the cement kiln is allowed under the current zoning and has the approval of Boulder County to remain in place after reclamation is completed, or a Certificate of Designation regarding the disposal of Cement Kiln Dust. The Division further stated that if neither of these measures are taken in the near future, DMG will recalculate the financial warranty for the site based on the cost of decommissioning the kiln, unless such confirmation is received, in which case the financial warranty will be based on the County requirements for leaving the kiln in place."

The letter written by Boulder County Land Use Department dated October 8, 2002 recognizes the cement kiln and attendant equipment as a nonconforming use. However based on Boulder County Land Use Code, it appears that the nonconforming use will terminate once the facility is either altered or abandoned. It appears that once the facility is no longer in operation, the nonconforming use will terminate and be subject to reclamation under DMG permit M-1977-208.

The letter supplied by Boulder County Land Use Department does not satisfy the Division's requirement that the cement kiln facility can remain in place as part of the post mining land use. Please be aware that the reclamation plan includes the cement kiln facility in the permit area of the Lyons Mine, and the area is slated to be reclaimed as "irrigated pasture" (see attached copy of 1977 Reclamation Plan Map). The Division was unable to locate any designation of a postmining land use of "industrial/commercial" as stated by the operator in the DMG 1999 inspection report.

Based on the information noted in the reclamation plan and letter from the Boulder County Land Use Department, the Division believes that the reclamation cost estimate for the Lyons Mine will need to be updated to include demolition and decommission of the cement kiln facility, and return the site to a postmining land use of "irrigated pasture."

If CEMEX wishes to retain this facility as part of the postmining land use, and have it not be subject to bonding, then the following must be submitted by November 29, 2002;

1. The plant site is slated to be reclaimed to a postmining land use of "irrigated pasture." In order to retain the structures CEMEX will need to submit a Permit Amendment Application changing this part of the postmining land use to "industrial/commercial."
2. CEMEX will need to provide a letter from Boulder County Land Use Department stating that the cement kiln facility can remain as a part of the postmining land use once the operation is no longer in use.

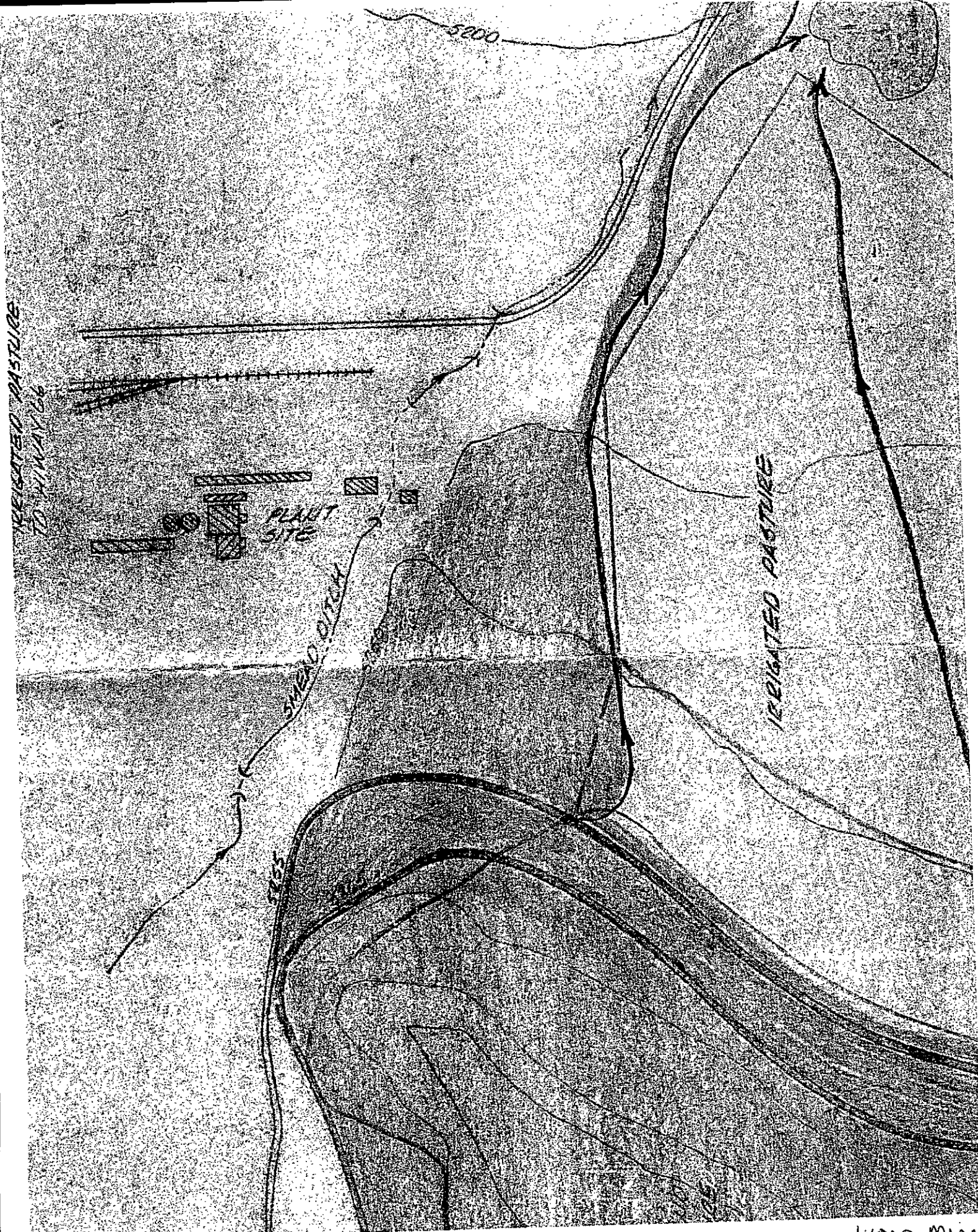
If the above mentioned items are not submitted, the Division will make arrangements to conduct an inspection of the site for purposes of revising the reclamation cost estimate. If you have any questions, please do not hesitate to contact me at 303-866-4943.

Sincerely,


Erica S. Crosby
Environmental Protection Specialist

Enclosure (copy of portion of 1977 Reclamation Plan Map)

cc: Carl Mount; DMG
John Lohr; CEMEX (w/enclosure)



Copy of Portion of Reclamation Plan Map (Received 9-14-77)

Lyons mine
M-1977-208